

card companies with kindness! If the person you are talking with will not work with you, ask to speak to a supervisor, or hang up and try again later.

Let's Make a Deal

Being polite does not mean that you cannot be persistent. I have a friend Eric who always gets the best hotel rate, simply by asking: "Is that the best you can do for me?" So you can be direct and bold, and ask if that is, in fact, the absolute best rate that they can offer you at the present time. Ask if any special offers are coming up.

Even if you don't have huge debt on each card, the compounding of interest is frightening. Let's show an example of my friend Rhoda. She only had five credit cards. Most people have many more! On one card, she had an outrageous 22% interest rate on a balance of \$2000. Credit card minimum payments are usually 2% or 4% of the entire balance. We'll say Rhoda paid 2% of her balance each month. She thought she was doing a good thing by making her minimum payment. She didn't realize that by sticking to the minimum payment it would take almost ten years to pay off that balance! Ten years!

The interest that would pile up over the course of these months would grow to over \$3900! She would end up paying more than double the original balance of \$2000. How crazy is that! Do you think that whatever she bought for \$2000 is still going to be around in ten years? That is longer than a car loan time period. Some people can pay off their houses in ten years. Interest may be the 8th wonder of the world, but we don't need to be its shining examples.

Don't Throw Your Money Away!

Imagine how much greater the numbers in this example for Rhoda would be if the balance were higher than \$2000; and many of us carry balances that are indeed more than that. The national average is at \$8000 per person. The interest on that could fund a vacation or a retirement plan. I guess it is – only not *your* vacation or *your* retirement plan. Your money is going to the bankers and the credit card company folks instead of into your worthwhile endeavors. Not anymore!